Properties of the Aggregate Demand Curve

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$y^d(x, p)$ is the AD curve

$$\boxed{\frac{X^{\varepsilon}}{[1+\tau(x)]^{\varepsilon-1}} \cdot \frac{\mu}{p} = y^d(x,p)}$$

- y^d is <u>decreasing</u> in p
- y^d is <u>decreasing</u> in x $(\varepsilon > 1, \tau' > 0)$

- $y^d(x^m, \rho) = 0$

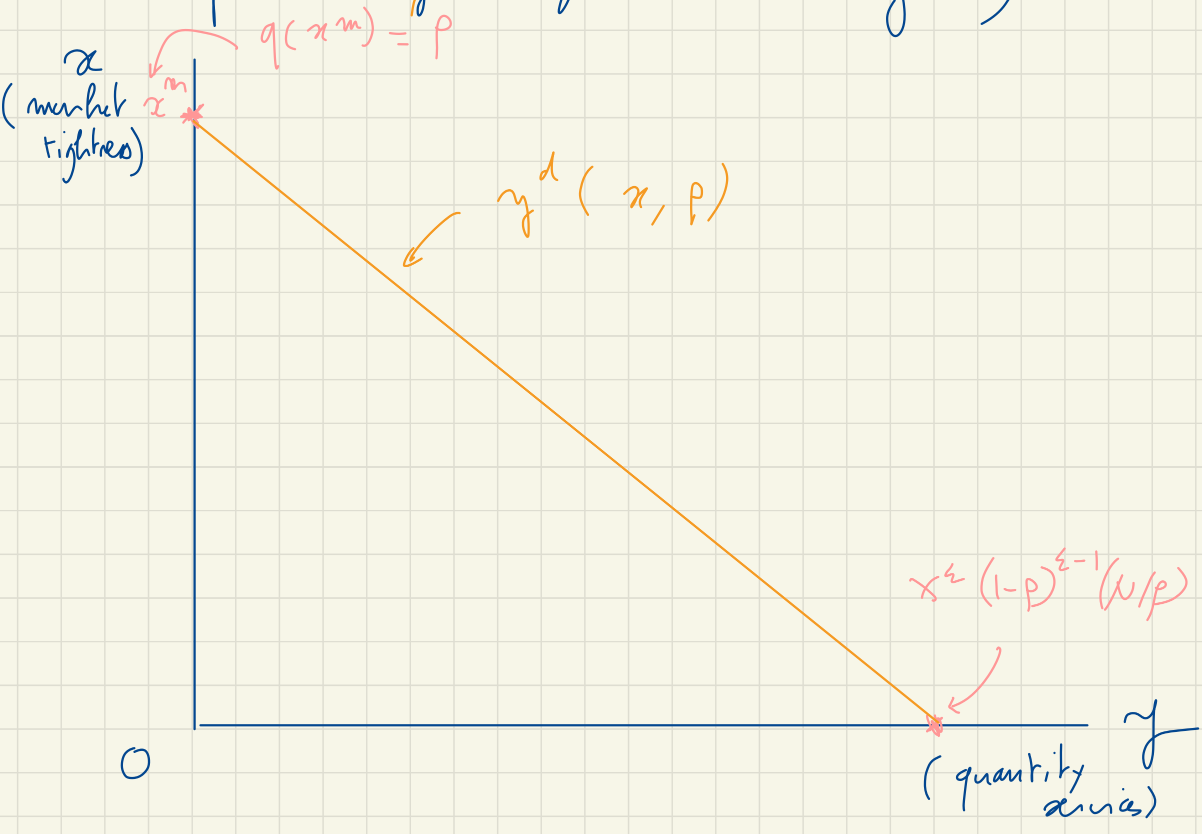
$\tau(x^m) = +\infty$

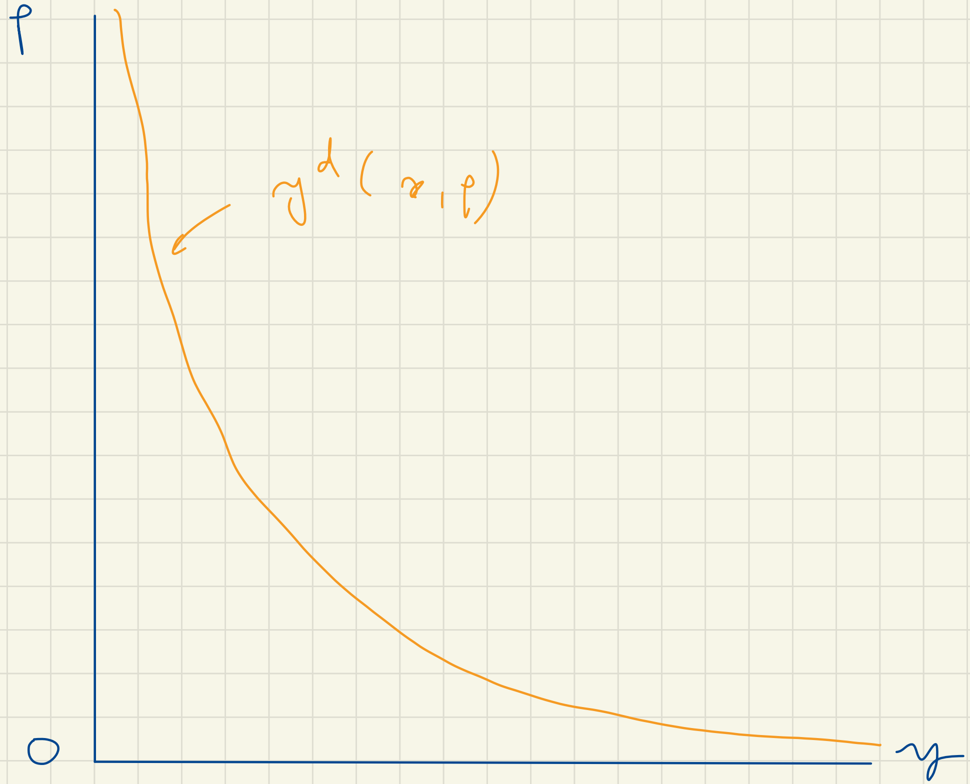
$$y^d(0, \rho) = \frac{x^{\varepsilon}}{[1+\tau(0)]^{\varepsilon-1}} \quad \frac{\mu}{\rho}$$

$$\tau(0) = \frac{\rho}{1-\rho} \longrightarrow 1+\tau(0) = \frac{1}{1-\rho}$$

$$y^d(0, \rho) = x^{\varepsilon}(1-\rho)^{\varepsilon-1} \cdot \frac{\mu}{\rho} > 0$$

↳ paradox of thrift (Keynes)




p
$y^d(x, p)$
0
y